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# Legal Compliance

## Requirements Summary

CLATly — AI-Powered CLAT Preparation Platform

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| <b>Date:</b>           | July 10, 2026                            |
| <b>Classification:</b> | Confidential                             |
| <b>Reference:</b>      | docs/legal-consultation.md               |

This document provides a summary of legal compliance requirements for the CLATly platform prior to its commercial launch with paid subscriptions. It covers advertising, data privacy, intellectual property, Terms of Service, and payment processing under Indian law as of July 2026. This does not constitute an attorney-client relationship.

# 1. Advertising & Marketing Compliance

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Your biggest risk in EdTech advertising is misleading claims — especially around "guaranteed results," rankings, or success rates. The following legal framework applies:

## Legal Framework

- **ASCI Guidelines** — All claims must be substantiated with verifiable data. Claims about pass rates, question bank size, or AI accuracy must be provable.
- **Consumer Protection Act 2019** — False or misleading claims are strictly prohibited. "Guaranteed selection" claims or testimonials without written consent are not allowed.
- **Endorsements** — Student testimonials need explicit written consent plus a "results not typical" disclaimer.
- **Comparative Ads** — Factual only. Must not disparage competitors. Every claim needs data backup.

## AI-Powered Claims — Critical

## Recommendation

Create an ad pre-approval checklist that flags "guarantee," "percentage," and "ranking" language for legal review before any campaign launch.

## 2. Data Privacy & Security (DPDP Act 2023)

As a Data Fiduciary under the Digital Personal Data Protection Act 2023, you have specific obligations for handling student information.

### Key Requirements

- **Consent** — Explicit, informed, freely given consent before collection. Separate consent for processing vs. marketing. Never pre-ticked.
- **Notice** — Privacy notice in clear language (English + Hindi recommended). State: what data, why, retention period, third-party sharing.
- **Data Minimization** — Collect only: name, email, phone, academic level. Avoid Aadhaar unless verified necessary.
- **Parental Consent** — MANDATORY if any user may be under 18. Verifiable parental consent required under DPDP.
- **Retention & Deletion** — Delete on consent withdrawal. Publish a retention schedule with auto-delete rules.
- **Breach Notification** — Must report to DPB India + affected users. Implement breach detection now.
- **Security** — AES-256 at rest, TLS 1.3 in transit, access controls, audit logs.
- **Grievance Officer** — Appoint a Data Protection Officer and publish their name and contact on the site.

### Quick Wins — This Week

- Privacy Policy (layered: summary + full version)
- Consent checkboxes on registration (not pre-ticked)
- Parental consent flow for under-18 users
- Data deletion API endpoint for account closure
- DPO / Grievance Officer contact page

### 3. Intellectual Property & Branding

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#### Protection Strategy

- **"CLATly" Brand Name** — File TM Application (Class 41 — education; Class 9 — software/app). Priority date matters even before registration.
- **Logo & Visual Identity** — Copyright as artistic work. Use ™ marking until registration.
- **Question Bank Content** — Copyright exists on creation. Display "© CLATly, 2026" in site footer.
- **AI-Generated Content** — Under Indian law, AI outputs have NO copyright (no human author). Protect curation, platform code, and database structure instead.
- **Domain Names** — clatly.com registered. Also register: clatly.in, clatprep.in, and typo-squatting variants.

## 4. Terms of Service & AI Liability Disclaimers

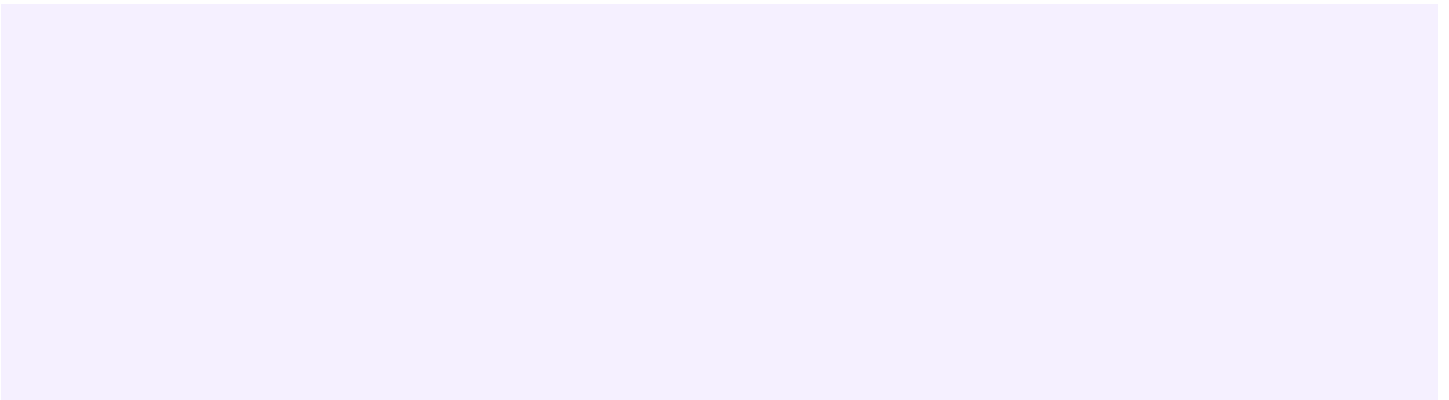
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This is the highest-risk area for an AI-powered EdTech platform. The ToS must cover:

### Essential Clauses

- **Service Description** — Define what AI does and does not do (assistance ≠ coaching, no exam guarantee)
- **User Eligibility** — Min. age 13; under-18 requires parent/guardian acceptance
- **Subscriptions** — Billing terms, auto-renewal, refund policy (no statutory right to refund for digital goods)
- **User Conduct** — Prohibit answer-sharing, scraping, multi-account abuse
- **AI Disclaimer** — Critical — see below
- **Limitation of Liability** — Cap at subscription fees paid in last 12 months. Disclaim exam results and indirect damages
- **Dispute Resolution** — Jurisdiction specified. Arbitration clause optional
- **Termination** — Right to suspend for ToS violation. 30-day data retention post-termination, then delete
- **Updates** — 30-day notice for material changes

### Required AI Disclaimer



## 5. Online Payment Processing

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### Compliance Requirements

- **Payment Gateway** — Use RBI-authorized aggregator (Razorpay recommended for subscription billing)
- **PCI-DSS** — Use hosted checkout — never store card data on your server
- **RBI Recurring Payments** — Explicit mandate, pre-transaction notification, easy cancellation, SMS/email confirmation
- **Refund Policy** — Must be published. Fair policy (e.g., 7-day cooling-off for first purchase) builds trust
- **GST** — 18% on digital educational services. Register if turnover >₹20L. Issue invoices with HSN 998439
- **TCS** — Check Section 206C(1H) applicability if using Razorpay marketplace model

### Recommended Stack

- Gateway: Razorpay Subscriptions API + webhooks for billing events
- Integration: Hosted checkout page only — never bring raw card/PIN data to your server
- Invoicing: Auto-generate invoices per transaction with GSTIN and HSN code

## . Priority Action Plan

The following actions are organized by priority. Critical items must be completed before the paid launch. Use issue #27 on the CLAT Prep Hub board to track progress.

| Priority |          | Action                                              | Timeline                  |
|----------|----------|-----------------------------------------------------|---------------------------|
| CRIT     | Critical | Draft & publish DPDP-compliant Privacy Policy + ToS | Before paid launch        |
| CRIT     | Critical | Parental consent mechanism for under-18 users       | Before paid launch        |
| CRIT     | Critical | AI disclaimer in ToS + consent on first AI use      | Before paid launch        |
| HIGH     | High     | File trademark application for "CLATly"             | This month                |
| HIGH     | High     | Register for GST (if projected >₹20L annual)        | Before 1st subscription   |
| HIGH     | High     | Set up Razorpay with DPDP-compliant DPA             | Before paid launch        |
| MED      | Medium   | ASCI ad review checklist + pre-approval process     | Before marketing campaign |
| MED      | Medium   | Grievance Officer / DPO contact page                | Before paid launch        |

### Status Overview

| Area           | Reference                      | Status                         |
|----------------|--------------------------------|--------------------------------|
| Git Repository | docs/legal-consultation.md     | [OK] Committed & pushed        |
| Git Tag        | legal                          | [OK] Applied to commit 0ea3d96 |
| GitHub Issue   | #27 -- Legal Compliance Review | [OK] Created & labeled         |
| Project Board  | CLAT Prep Hub (Status: Todo)   | [OK] Added to board            |

This document provides general legal guidance based on Indian law (DPDP Act 2023, Consumer Protection Act 2019, ASCI Guidelines, IT Act 2000, RBI regulations) as of July 2026. It does not constitute an attorney-client relationship. Specific contractual documents should be finalized with review of the live platform's features and data flows.